

FIN 428
Estimating Walmart's Cost of Capital
Pre-Case Work
Due: 2/25/2026, 9:00 am

The goal of this pre-case assignment is to remember WACC calculations and the relevant financial data. By the end of this exercise, you should be able to calculate the WACC for any public corporation using appropriate data sources.

Please submit your answers on Canvas.

Questions

Question 1: Write down the WACC equation and **explain** how you would calculate it.

$$\text{WACC} = \text{Re} (E/E+D) + \text{Rd} (1-t) (D/E+D)$$

Re = cost of equity

Rd = before tax cost of debt

T = marginal corporate tax rate

E = market value of equity

D = market value of debt

Steps for calculating WACC:

- Use CAPM to estimate cost of equity (Re)
- Use the yield of an outstanding long-term bond issued by the company to estimate cost of debt (Rd)
- Multiply the company's price per share by the number of shares outstanding to calculate the market value of equity (E)
- Add long term debt to short term debt to calculate the value of debt (D)

- Use the WACC formula and the values of R_e , R_d , E , and D to calculate the WACC

Question 2: Calculate the WACC for Home Depot. Here are some quick reminders:

- Cost of Equity (R_e):** Use the Capital Asset Pricing Model (CAPM). Look up the firm's beta from a public data provider (Yahoo, Bloomberg, Morningstar, etc). For the risk-free rate, use the yield on 10-year government bonds, which can be obtained from the Treasury's website. For market risk premium, use a survey of risk premiums. (Example: [Survey: Market Risk Premium and Risk-Free Rate used for 54 countries in 2025 by Pablo Fernandez, Diego Garcia de la Garza, Lucía Fernández Acín :: SSRN](#))
- Cost of Debt (R_d):** Look up the YTM of a long-term, straight bond issued by the company. If there are no bonds traded, then look up the credit rating of the company and add an appropriate credit risk premium (Example: [Ratings and Coverage Ratios](#))
- Equity Amount:** Use the company's most recent market value of equity.
- Debt Amount:** Add short-term and long-term debt recorded on the most recent balance sheet disclosed for the company.
- Marginal Tax Rate:** Use 21%.

R_e :

Beta: 1.09

Risk-free rate: 4.20%

Market risk premium: 5.50%

Tax rate: 21%

CAPM: $R_e = R_f + B(R_m - R_f)$

$R_e = 4.20\% + 1.09(5.50\%)$

$R_e = 10.195\%$

R_d : 5.00%

E : 382.75 B

D : 62.29 B

T : 21%

$$WACC = R_e (E/E+D) + R_d (1-t) (D/E+D)$$

$$WACC = .10195 (382.75 / 382.75+62.29) + 0.05(1-0.21) (62.29/382.75+62.29)$$

$$WACC = 9.32\%$$

Grading Rubric

All questions are addressed, WACC explained thoroughly and Home Depot's WACC is calculated correctly using correct inputs.	100
All questions are addressed, but with mistakes	85
Some of the questions are not answered.	50
No submission by the deadline.	0